208

IN NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP/50/CAA/2022 in CA/1059/CAA/2019

Under Section 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Arrangement

THANJAVUR SPINNING MILL LIMITED
A company incorporated under Companies Act, 1956, having its registered office at,
Rajapalayam Mills Premises,
P.A.C.Ramasamy Raja Salai,
Rajapalayam – 626 117

...Petitioner Company

Order pronounced on ***21st July 2022***

CORAM:

JUSTICE (RETD.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For the Applicants: *Mr. Pawan Jhabakh, Advocate.*

ORDER

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

Under consideration is a Company Petition in CP/CAA/50/CHE/2022 filed by the above-mentioned Petitioner Company under section 230 - 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules 2016. The instant Company Petition is seeking sanction of the Scheme of Arrangement of **Thanjavur Spinning Mill Limited** (hereinafter referred to as the **"Petitioner Company**).

2. Thanjavur Spinning Mill LIMITED

2.1. The Petitioner Company viz., Thanjavur Spinning Mill Limited, was incorporated on the 09th day of June 1961 as a Public Limited Company under the name and style of "Thanjavur Textiles Limited" under the provisions of the Companies Act, 1956 in the State of Tamil Nadu. After obtaining due approvals, the name of the Company was changed to its present name, "Thanjavur Spinning Mill Limited" and the Fresh Certificate of Incorporation is placed at Page 16 of the typed set filed along with the application. The registered office of the Petitioner Company is situated at Rajapalayam Mills Premises, P.A.C. Ramasamy Raja Salai, Rajapalayam – 626 177. The main object of the Petitioner Company is set out in clause III of its Memorandum of Association (in short **"MoA"**). They are briefly as under:

> 1. "To carry on the business of manufacturing, bleaching, dyeing. printing, selling yarn, cloth and other fabrics made from raw cotton, jute, wool and other suitable materials; and generally to carry on the business of Cotton Spinning and Weaving Mill proprietors in all their branches.
>
> 2. To carry on or to be interested in all or any of the businesses of cotton spinners and doublers, flax, hemp, Jute and wool merchants, wool combers, worsted spinners, woolen spinners, yarn merchants, worsted stuff manufacturers bleachers and dyers and makers of vitriol, bleaching and dyeing materials and to purchase comb, prepare spindye and deal in flax, hemp, jute, wool, cotton, silk and other fibrous

substances, and to weave or otherwise manufacture, buy and sell and deal in linen, cloth and other goods etc.,"

2.2. The Authorized Share Capital, Issued, Subscribed and Paid-up share capital of the Petitioner Company as under:

PARTICULARS	AMOUNT (INR)
Authorized share capital	
70,00,000 Equity Shares of Rs. each	7,00,00,000
2,50,00,000 9% Cumulative Redeemable Preference Shares of Rs.10/- each	25,00,00,000
40,00,000 9% Cumulative Optionally Convertible Redeemable Preference Shares of Rs.10/- each	4,00,00,000
Total	**36,00,00,000**
Issued, subscribed and paid up share capital	
27,00,000 Equity Shares of Rs.10/- each	2,70,00,000
2,50,00,000 9% Cumulative Redeemable Preference Shares of Rs.10/- each	25,00,00,000
20,00,000 9% Cumulative Optionally Convertible Redeemable Preference Shares of Rs.10/- each	2,00,00,000
Total	**29,70,00,000**

3. 1st Motion Application – In Brief

3.1. This Tribunal vide its Order dated 31st January, 2020, passed in CA/1059/CAA/2019, based on the representations made by the Petitioner, had ordered the convening, holding and conducting meeting of the Equity Shareholders, 9% Cumulative Redeemable Preference Shareholders, 9% Cumulative Optionally Convertible Redeemable Preference Shareholders and Unsecured Creditors of the Petitioner company. The Board of Directors of the Petitioner Company vide their resolution dated **28.05.2019** respectively approved the said Scheme of Arrangement.

4. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 31.01.2020, to convene the meetings of the Equity shareholders, Unsecured Creditors, , 9% Cumulative Optionally Convertible Redeemable Preference Shareholders, 9% Cumulative Redeemable Preference Shareholders on 07.03.2020 at Rajapalayam Mills Premises, P.A.C.Ramasamy Raja Salai, Rajapalayam – 626 177 at 10:00 AM, 11:00 AM, 12:00 PM & 01:00 PM respectively. Accordingly, the Tribunal has appointed Mr.K.Gowtham Kumar, Advocate as Chairperson and Ms. Geetha Sridhar, PCS as Scrutinizer for the said meetings. Subsequently the second motion petition was filed before this Tribunal by the petitioner companies on 14.03.2022 for sanction of the Scheme of Arrangement by this Tribunal.

4.1. Thereafter, the applicant had filed MA/148/2020 seeking to re-fix the date of the meetings of the shareholders and creditors to 31.03.2020 and this Tribunal vide its order dated 14.02.2020 has rescheduled the meetings of the shareholders and creditors of the Applicant Company to be held on 31.03.2020.

4.2. Thereafter, the Applicant had filed another MA/1364/2020 seeking relief for again re-fixing the date of meetings of the Shareholders and Creditors of the Applicant Company and the same was ordered by this Tribunal vide order dated 15.12.2021 that the Order dated 31.01.2020 passed in CA/1059/CAA/2019 and the order passed in MA/148/2020 stands modified to the following extent:

(i) The Meeting of the Equity Shareholders shall be conducted on 01.03.2022 at 10:00 AM at the registered office Address of the Applicant Company or through video conference.

(ii) The Meeting of the Unsecured Creditors shall be conducted on 01.03.2022 at 11:00 AM at the Registered Office Address of the Applicant Company or through video conference.

(iii) The Meeting of the 9% Cumulative Optionally Convertible Redeemable Preference Shareholders shall be conducted on 01.03.2022 at 12:00 Noon at the Registered Office Address of the Applicant Company or through video conference.

(iv) The Meeting of the 9% Cumulative Redeemable Preference Shareholders shall be conducted on 01.03.2022 at 1:00 PM at the Registered Office Address of the Applicant Company or through video conference.

4.3. The Chairman submitted his Report on the above said meetings held on 01.03.2022. From the Chairman's Report, it is observed that the Equity shareholders, Unsecured Creditors, 9% Cumulative Optionally Convertible Redeemable Preference

Shareholders, 9% Cumulative Redeemable Preference Shareholders of the Petitioner Company had consented in favour of the Scheme and the same Report is placed at "Annexure A 8, A10,A12 & A15" to the typed set filed along with the Petitioner Company Petition.

5. The Petitioner Company had filed its Company Petition before this Tribunal on 14th March 2022 (Online filing date) for the sanction of the Scheme of Arrangement between **Thanjavur Spinning Mill Limited** (hereinafter referred to as the **"Petitioner Company**) and their shareholders.

6. RATIONALE OF THE SCHEME

6.1. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Company would *inter alia* result in the following benefit:

a. The Board of Directors of the Petitioner Company believe that the Petitioner Company having sold its significant assets throughout the years with the approvals of its stakeholders and the textile industry not being lucrative/viable for further growth or investments, the Petitioner Company proposes to implement the present Scheme of Arrangement with an intention to at best minimum provide a return to its shareholders.

b. The Petitioner Company proposes a restructuring exercise under the Scheme of Arrangement wherein it is

desirous of providing a liquidity option to the shareholders of the Petitioner Company by structuring an exit option for all the equity shareholders at a value of Rs.10 for every equity share held in the Petitioner Company. This option would enable and facilitate the shareholder to have liquidity to their investment.

c. The Board of Directors of the Petitioner Company under the present Scheme of Arrangement propose to provide an exit route to the shareholders who are vested with the option of either holding their investments in the Company or exercise the option of exiting the Petitioner Company at the price of Rs.10/- for every equity share held in the Petitioner Company under the Scheme.

d. Apart from providing such an option to the equity shareholders, the Petitioner Company also proposed under the Scheme of Arrangement to redeem the Compulsory Redeemable Preference Shares and the Compulsory Optional Convertible Redeemable Preference Shares and payment of outstanding Preference Dividend to the preference Shareholders in accordance with the terms of issuance of such Preference Shares without creating Capital Redemption Reserve Account. In essence, the Petitioner Company through the surplus funds available in its books is providing value and exit to all classes of shareholders under the Scheme of Arrangement.

7. The Company Petition was admitted by this Tribunal on 13th April 2022 wherein notices were ordered to the Regional Director, Southern Region, Ministry of Corporate Affairs, Registrar of Companies, Chennai, Income Tax Department and the Official Liquidator and paper publication in "Business Line" English (All India Edition) and "Dina Mani" Tamil (Tamil Nadu Edition). In compliance of the order dated 13h April 2022, the Petitioner Company has filed their affidavit of service on 16th June 2022 (Online filing date).

8. RESPONSE FROM STATUTORY AUTHORITIES

8.1. The Regional Director, Southern Region (In short, '**RD**') in its Report Affidavit (for brevity, '**Report**'), and has observed in Paragraph 3 of the report, that as per Clause 2.2 of Part II of the Scheme, the Appointed Date is 01.04.2019, which is ante-dated beyond a year and is not in accordance with Sec. 232(6) of the Companies Act, 2013. It is prayed that the Hon'ble NCLT, Chennai may direct the applicant to revise the Appointed Date or may determine an Appointed Date, as it thinks fit. It has been further submitted that as per the report of the RoC, Chennai, the Petitioner Company are regular in filing their statutory returns and in respect of the Petitioner Company no prosecution filed, no complaints pending and no inspection/ investigation has been conducted. Accordingly, the

RD, as recorded in paragraph 12 of the said report, has decided not to make any objection to the scheme.

8.2. In relation to the objections raised by the RD, it is seen that Petitioner Company has filed an Affidavit dated 09.07.2022 vide SR No. 4223 stating that the Appointed Date in respect of the Scheme can be fixed as 1st April 2022. The said Affidavit filed by the Petitioner Company is taken on record and accordingly the Appointed Date of the Scheme shall be **01.04.2022.**

9. As mentioned in Part IV of the Scheme, it appears that the Accounting Treatment is in conformity with the Accounting Standards.

10. The Scheme of Arrangement will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditor/s in any manner.

11. The Scheme does not require any modification as it appears to be fair and reasonable, not contrary to public policy and also not violative of any provisions of law. All the statutory compliances have been made under section 230-232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations)

Rules, 2016. The Scheme of Arrangement was duly approved by the shareholders of the Petitioner Company. Taking into consideration all the above, the Company Petition are allowed and the Scheme of Arrangement annexed with the petition is hereby **sanctioned** which shall be binding on all the members, creditors and shareholders.

12. While approving the scheme as above, we further clarify that this order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

13. The Companies to the said Scheme or other persons interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme. The Petitioner Company shall file with the Registrar of Companies, the certified copy of this Order, within 30 days of the receipt of the order.

14. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

15. Accordingly, the Scheme annexed with the petition stands sanctioned and the Company Petition No. CP/50/CAA/2022 stands **disposed of.**

- Sd -

SAMEER KAKAR
MEMBER (TECHNICAL)

- Sd -

Justice (Retd) S.RAMATHILAGAM
MEMBER (JUDICIAL)

Raymond